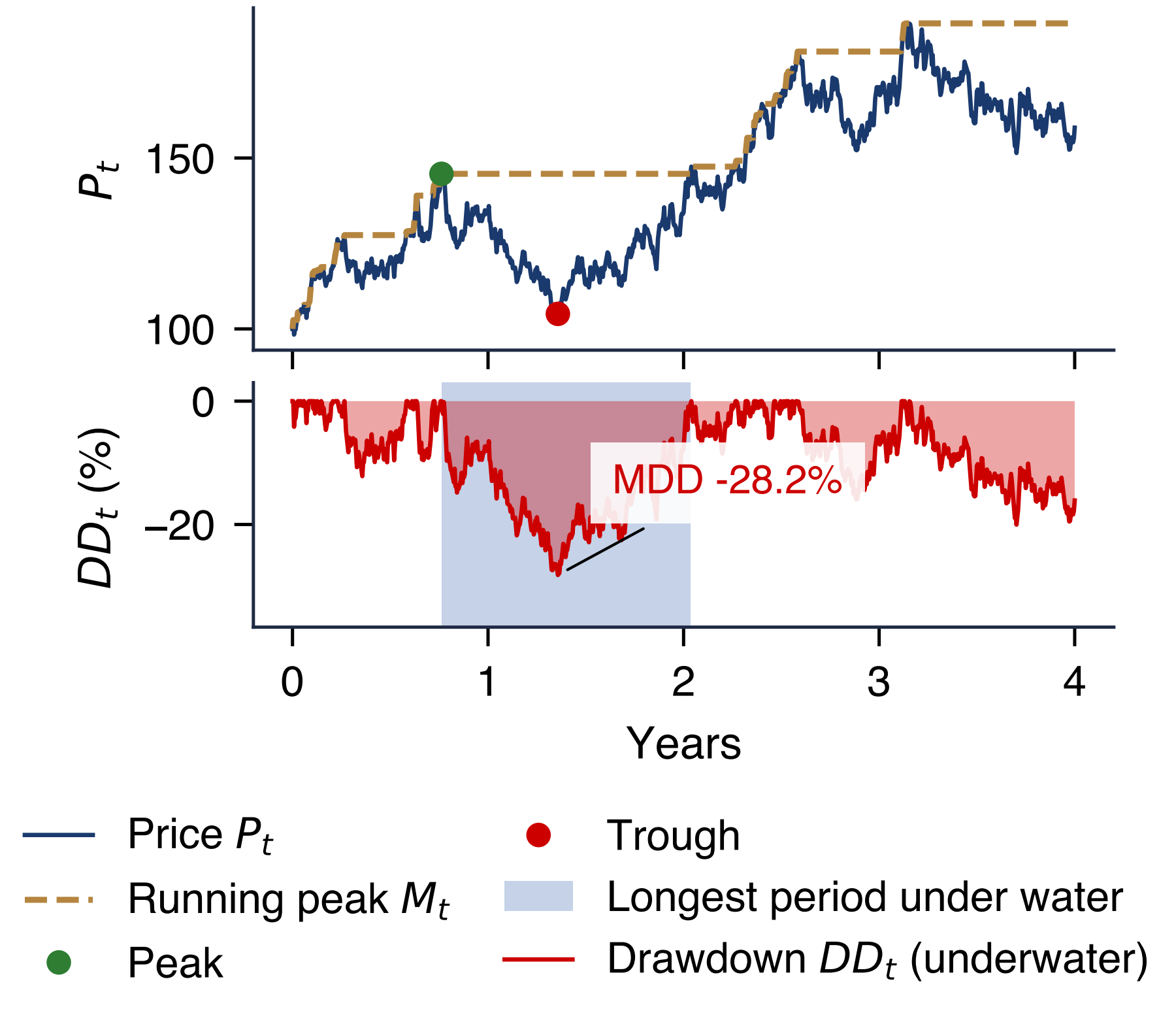
P_t
150
100
DD_t (%)
0
−20
MDD -28.2%
0
1
2
3
4
Years
Price P_t
Running peak M_t
Peak
Trough
Longest period under water
Drawdown DD_t (underwater)